

EMPLOYEE ACCEPTABLE USE OF AI TOOLS POLICY

PURPOSE & SCOPE OF THE POLICY

The purpose of this **Employee Acceptable Use of AI Tools Policy** (this “Policy”) is to establish expectations and guidelines for the appropriate use of artificial intelligence (AI) tools in the workplace. This Policy aims to ensure that AI technology, including the use of AI Tools (as defined below), is used in a lawful and ethical manner to enhance productivity, efficiency, and decision-making, while complying with applicable law and respecting privacy, confidentiality, and data security.

This Policy applies to the use of AI Tools by all Company full-time employees, part-time employees, temporary workers and contractors (collectively, “Employees”). Furthermore, this Policy applies to the use of AI Tools when conducting Company business whether on a Company-provided or non-company provided device.

AI TOOLS DEFINED:

For the purposes of this Policy, “AI Tools” are any software, system, service, model, or feature that uses machine-learning, generative, statistical, or other artificial-intelligence methods to:

- Generate or transform content or synthetic media (including code);
- Produce predictions, classifications, recommendations, or summaries;
- Extract patterns or meaning from data; or
- Autonomously or semi-autonomously orchestrate actions or decisions.

AI Tools operate with limited human direction and are not explicitly programmed step-by-step for each output, and include:

- General models and copilots (LLMs, image/audio models), domain models (fraud/risk scoring), computer vision, speech-to-text/text-to-speech, recommendation systems, retrieval-augmented systems, and agentic automations that invoke AI models.
- Embedded AI features inside applications (e.g., “smart compose,” “suggested insights”), and any workflow or integration that calls an AI API.

AI Tools exclude (unless they embed/consume an AI Tool):

- Purely deterministic tools such as spreadsheets, calculators, SQL, traditional business-rule engines;
- Basic robotic process automation (RPA)/macros that do not learn from data or use model-based inference.

APPROVED VS. UNAPPROVED AI TOOLS:

This Policy applies to the use of AI Tools have been developed by the Company or obtained from a third-party vendor to which you have been provided access for use within the scope of your employment with the Company (“Approved AI Tools”). Approved AI Tools include Microsoft Co-Pilot Chat. You are encouraged to take advantage of Approved AI Tools for their intended purpose in the completion of your tasks and assignments. Approved AI Tools shall only be used for the purpose for which they are provided, and users must comply with all business rules and policies associated with such use.

This Policy also applies to those AI Tools that have not been approved by the Company but to which you may still have access via a public website or other similar means (“Unapproved AI Tools”).

If there is any question as to whether a particular tool or service (1) is considered an AI Tool and/or (2) is an Approved AI Tool or Unapproved AI Tool, please contact Ramana Narayanam, Head of Information Technology.

RULES APPLICABLE TO THE USE OF ALL AI TOOLS:

The use of AI Tools in the workplace, whether an Approved AI Tool or an Unapproved AI Tool, introduces important challenges and potential risks. AI Tools—particularly those powered by machine learning or generative models—may produce inaccurate, misleading, or biased outputs. In some cases, they can amplify existing inequalities, violate privacy expectations, or operate in ways that are difficult to audit or explain. Additionally, Employees may unintentionally expose sensitive company or customer data when interacting with AI tools or rely too heavily on AI-generated content without appropriate oversight or verification. With the use of any AI Tools, it is important to understand that many AI Tools are prone to “hallucinations,” bias, false answers or information, or information that is stale, and therefore responses must always be carefully verified by a human.

When using AI Tools, regardless of whether such AI Tool is an Approved AI Tool or an Unapproved AI Tool, the following rules apply:

- Do not represent work product generated by AI Tools as your own original work.
- Do not integrate any AI Tools with internal Company software without first receiving specific written permission from your manager and Ramana Narayanam, SVP, Head of IT .
- **Unless specifically provided by the Company for such purpose, Employees are prohibited from using AI Tools in the adjusting or otherwise handling of any claims, including but not limited to the use of AI Tools in drafting of coverage letters, assessing of injury or damages, or similar uses.**
- **Unless specifically provided by the Company for such purpose, Employees are prohibited from using AI Tools in the underwriting, rating, risk selection and pricing of insurance products.**
- **Employees are prohibited from using AI Tools in the recruitment and screening of candidates, or internal employment decisions. Similarly, managers are prohibited from using AI Tools for personnel decision-making purposes (e.g., hiring, promotion, performance rating, discipline, or termination recommendations). Any attempt to utilize AI Tools in this capacity must be approved by the Company’s Legal Department and Human Resources Department in writing.**
- Unless approved for use by Ramana Narayanam, SVP Head of IT, Employees are prohibited from developing or otherwise deploying agentic automation.
- When using AI Tools in the completion of a task or assignment, you are required to (1) inform your manager regarding the extent to which Unapproved AI Tools were used and (2) confirm or otherwise verify to the best of your ability that any information generated by an AI Tool is accurate
- As set forth in the Employee Handbook, the use of AI Tools to transcribe, record, or automatically summarize meetings is prohibited unless authorized in advance by Human Resources and Legal.

- Any use of AI Tools, that is prohibited by statute, regulation, or other Company policy is strictly prohibited.

RULES APPLICABLE TO THE USE OF UNAPPROVED AI TOOLS:

The use of Unapproved AI Tools in the workplace presents additional challenges and concerns. As such, the following additional rules apply to the use of Unapproved AI Tools:

- Do not upload or input any Confidential Information¹ into any Unapproved AI Tool. Examples of Confidential Information that should not be entered into any Unapproved AI Tool include the following:
 - Submissions provided by an insured (or potential insured) or external distribution partner;
 - passwords and other credentials;
 - personally identifiable information (including but not limited to names, addresses, likenesses, etc.) about any person, employee, candidate for employment, policyholders, brokers, claimants, or other individuals;
 - protected health information;
 - Company financial information;
 - information from documents marked Confidential, Sensitive, or Proprietary;
 - any other non-public Company information that might be of use to competitors or harmful to the Company if disclosed.

Uploading or inputting Confidential Information into an Unapproved AI Tool: (1) may breach your or the Company's obligations to keep certain information confidential and secure, (2) risks widespread disclosure, and (3) may cause the Company's rights to or confidentiality of that information to be challenged.

In addition to this Policy, Employees must comply with and are encouraged to review their obligations under the Company's Code of Business Conduct & Ethics and those relevant provisions of the Employee Handbook including but not limited to: Workplace Conduct and Safety, Confidential Company Information, and Use of Company Equipment and Resources.

¹ As set forth in the Employee Handbook, "Confidential Information" means an item of information or compilation of information in any form (tangible or intangible) related to the Company's business that you acquire or gain access to during your employment with the Company that the Company has not authorized public disclosure of, that is not readily available to the public or persons outside the Company, or might reasonably be expected by an employee to be confidential.

By way of example and not limitation, Confidential Information is understood to include: product or service information, including fees, costs, pricing structures, plans for, and markets therefor; sales and profit figures; marketing, finances, and other business information; advertising and pricing strategies; analyses; diagrams; reports; computer software, including operating systems, applications, and program listings; flow charts; manuals and documentation; databases; accounting and business methods; business plans; research, innovations, ideas, inventions and new developments and methods, whether patentable or unpatentable and whether or not reduced to practice; technical data, trade secrets, and proprietary information; customer or client lists; and information concerning existing and prospective customers or clients, agents, and other information related thereto, and nonpublic information received from third-parties under an expectation or requirement of confidentiality.



VIOLATIONS OF THIS POLICY:

Violations of this Policy may result in disciplinary action, up to and including termination of employment or contract (as in the case of a contractor). Nothing herein shall modify the at-will nature of an employee's employment with the Company. If Employees have questions about this policy, they should contact the Company's Legal Department at LegalDept@coactionspecialty.com.

NON-INTERFERENCE WITH PROTECTED ACTIVITY:

Nothing in this Policy is designed or intended to interfere with, restrain, or prevent employee communications regarding wages, hours, other terms and conditions of employment or any other rights protected by the National Labor Relations Act.

POLICY CHANGES:

AI technology and the laws and regulations governing AI are rapidly evolving and as such, this Policy may be amended from time to time to reflect the evolving landscape.